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Features of Income Tax in India

i. Levied as Per the Constitution

Income tax is levied in India by virtue of entry No. 82 of list I (Union List) of Seventh Schedule to the Article 246 of the Constitution of India.

ii. Levied by Central Government

Income tax is charged by the Central Government on all incomes other than agricultural income. However, the power to charge income tax on agricultural income has been vested with the State Government as per entry 46 of list II, i.e., State List.

iii. Direct Tax

Income tax is direct tax. It is because the liability to deposit and ultimate burden are on same person. The person earning income is liable to pay income tax out of his own pocket and cannot pass on the burden of tax to another person.



Structure of Indian Taxation System

Indian taxation system is one of the largest systems in the world.The authority to levy tax is derived from the Indian constitution and is well-structured. The tax administration has clear demarcation between Central Government and State Governments and then between State Governments and Local Bodies. Article 246 (Seventh Schedule) of the Indian constitution contains the legislative powers (including taxation) of the Union government and the State Governments.

iv. Annual Tax

Income tax is an annual tax because it is the income of a particular year which is chargeable to tax.

v. Tax on Person

It is a tax on income earned by a person. The term 'person' has been defined under the Income tax Act. It includes individual, Hindu Undivided Family, Firm, Company, local authority, Association of person or body of Individual or any other artificial juridical persons. The persons who are covered under Income tax Act are called 'assessees'.

vi. Tax on Income

It is a tax on income. The Income tax Act has defined the term income and it includes salary income, house property income, business/profession income, capital gains and other sources income. However, there are certain incomes which are specifically exempt from income tax.

vii. Income of 'Previous Year' is Assessable in 'Assessment Year'

Income earned during a particular financial year is assessed to tax in the immediately following financial year. The year of earning income is called 'Previous Year' and the year in which assessment of income is done is called 'Assessment Year'. The income tax return of previous year's income is filed in the relevant assessment year.

viii. Charged at Prescribed Rate(s)

Income tax is charged at prescribed rate(s). The rates of income tax differ for different income and for different persons. While tax